

Total Asset Utilization

The total asset utilization ratio is calculated in order to determine whether a company is generating sales commensurate with its investment in assets. It indicates how efficiently assets are being utilized and is an extremely useful ratio for preparing forecasts. The ratio is calculated by dividing the sales by the average total assets.

$$\text{Total asset utilization} = \frac{\text{Sale}}{\text{Average total assets}}$$

Illustration

Divya Tyres Ltd. was successful in increasing its sales in the latest financial year to Rs. 630 crore from Rs. 495 crore in the previous year. Its average assets grew by 10% to Rs. 90 crore. Its total asset utilization ratios for the two years were:

Previous Year	$\frac{495}{82}$	=	6.03
Latest Year	$\frac{630}{90}$	=	7.0

It is clear that the total assets utilization ratio has increased. This means, too, that the assets required to support an increase in sales have decreased, suggesting that assets are possibly being better utilized.